

DISTRIBUTION AGREEMENT

Contract Number:

THIS DISTRIBUTION AGREEMENT ("Agreement") is made as of **2th of February 2026** ("the Effective Date") by and between:

(a) **Solarfun Renewable Energy Poland sp. z o.o.**, ul. Towarowa 7, 00-839 Warsaw, Poland, KRS 0001164462, NIP 5273158240, REGON 541290364 ("Solarfun Poland");

(b) **Jiangsu Linyang Energy Storage Technology Co., Ltd**, F17, Building D1, No. 2 Mudanjiang Street, Jianye District, Nanjing, Jiangsu 210004, China ("Linyang HQ"); and

(c) **Lighthief Cyprus Ltd**, 28 October Avenue 249, Lophitis Business Center 1, Office 201, 3035 Limassol, Cyprus, Registered Address: Agiou Andreou 241, AG TRIAS COURT, Flat/Office 31, 3036 Limassol, Cyprus, Registration Number HE 477423, TIN 60187188Q ("Distributor").

Solarfun Poland and Linyang HQ are collectively referred to as the "Company" for the purposes of this Agreement.

1. Preamble

WHEREAS, Distributor desires to distribute the products purchased from Company and, Company desires to engage Distributor as a distributor in the territory of Cyprus ("the Territory"), subject to the terms and conditions of this Agreement.

NOW THEREFORE, in consideration of the terms and conditions hereinafter set out, the parties hereby agree as follows:

2. Definitions

"Affiliate" with respect to any person to which it refers, a person or entity that directly or indirectly through one or more intermediates, controls or is controlled by, or is under common control with, such subject person or entity. The term "control" includes, without limitation, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of a person or entity, whether through the ownership of voting securities, by contract or otherwise.

"Confidential Information" shall mean nonpublic, proprietary or confidential information of either Party in whatever form, regarding business plans, financial data, operational data, product development plans, pricing, Intellectual Property, and other non-public business info, whether identified as confidential information or not. Confidential Information shall also include the terms of this Agreement, Purchase Orders to be issued in accordance with this Agreement, and all documents and information released by either Party when performing its obligations under this Agreement.

"Distributor" shall have the meaning ascribed to such term in the preamble.

"Party", individually or "Parties", collectively shall mean each of Company and the Distributor (as hereafter defined).

"Product" shall mean the Products manufactured by the Company and as defined in clause 2.

"Intellectual Property" shall mean any patent, copyright, industrial design, trademark, trade name or other industrial or intellectual property right in respect of the Products and applications for any of the foregoing, for which Company and its Affiliates have the ownership rights or other rights, privileges, entitlements, and interests.

"Term" shall mean the duration of this Agreement in accordance with the provisions of Section 11 hereunder.

"Agreement" means this Agreement between Distributor and Company for the purpose of distribution of Product.

"Introduced Client" means any legal entity introduced by the Distributor to the Company in writing, including email, where the Distributor provides at least the client's name, contact person, and basic project information.

"Protected Client" means any Introduced Client for which the Distributor has provided written notification to the Company.

"Protected Project" means any PV, hybrid or BESS project introduced by the Distributor between 1 January 2025 and 31 December 2027.

"Introduced Client Registry" means the internal registry maintained by the Distributor under Section [Client Introduction Registry].

"Company Group" means the Company and all of its Affiliates, subsidiaries, parent companies, branches, regional entities, officers, employees, and representatives.

"Company Notice Address" means the registered offices of both Solarfun Poland and Linyang HQ as set out in Section 1. Notices to the Company are effective only when delivered to both Company Parties.

"Contractual Liquidated Damages" or "CLD" means the pre-agreed compensation payable under Section Y, representing a genuine pre-estimate of the Distributor's loss including lost commission, opportunity cost, and market development investment.

"Quotation Baseline" means the first written OEM quotation issued by the Company for a specific project, serving as the reference price for variations and CLD calculations.

"Total Contract Value" means the aggregate value of all payments, consideration, and benefits payable under a Circumventing Transaction. Where uncertain, calculated at EUR 150 per kWh of project capacity.

3. Client Introduction Registry

3.1 Distributor shall maintain an Introduced Client Registry and shall notify Company in writing (email sufficient) within five (5) Business Days of the Distributor's first substantive contact with any potential client.

3.2 Each notification shall include:

- (a) client's legal name and registration number;
- (b) contact person and title;
- (c) project type (PV/hybrid/BESS) and estimated size;
- (d) estimated budget;
- (e) date of first contact.

3.3 The client becomes a Protected Client upon Distributor's email notification, irrespective of Company acknowledgment.

3.4 Company shall not contact, negotiate with, quote to, or contract with any Protected Client without Distributor's prior written consent (email sufficient).

3.5 Deal Registration: For strategic projects, the Distributor may submit a formal Deal Registration including project details, capacity, and timeline. Registered deals receive enhanced protection: the Company Group shall not engage for eighteen (18) months from registration, renewable for successive 12-month periods.

4. Anti-Circumvention Contractual Liquidated Damages

4.1 If any member of the Company Group enters into direct or indirect contact, negotiation, quotation, tender, proposal, LOI, purchase order, supply agreement, EPC agreement, service agreement, or any other commercial activity ("Circumventing Transaction") with any Protected Client or regarding any Protected Project without Distributor's written consent (email sufficient), this constitutes circumvention.

4.1A Basis for Liquidated Damages: The Parties acknowledge that the CLD amounts represent a genuine pre-estimate of the Distributor's loss, including lost commission, market development costs, opportunity costs, and reputational harm, which would be difficult to quantify precisely.

4.2 Contractual Liquidated Damages (Liquidated Damages) Structure:

- (a) Contract value $\leq$ €500,000: €75,000
- (b) €500,001–€2,000,000: 15 percent of total contract value
- (c) $>$ €2,000,000: 20 percent of total contract value (capped at €500,000)

4.3 Minimum Contractual Liquidated Damages: €50,000 per violation.

4.4 Each Circumventing Transaction is treated as a separate and cumulative breach.

4.5 Payment due within thirty (30) days of Distributor's written notice.

4.6 Contractual Liquidated Damages shall be due and payable subject to the condition that the Distributor has previously requested the Company to cease the infringements specified in 4.1, and the Company has not ceased the infringements within 7 days from such notice and is enforceable independently and is not subject to any limitation of liability.

4.7 Determination of Value: Where Total Contract Value is disputed:

(a) the Company shall provide all relevant contracts and invoices within ten (10) Business Days;

(b) failure to provide documentation means the Distributor's calculation is deemed correct;

(c) if Parties cannot agree within thirty (30) days, the matter is referred to an independent accountant.

5. Appointment & Distributor Rights

Distributor is appointed as Official Hybrid/BESS Channel Partner for Cyprus, responsible for coordinating all feasibility studies, BESS sizing, engineering visits, EMS/PCS configuration, and hybridisation work together with Linyang HQ, however Distributor shall act as the intermediary in the conclusion of contracts between Linyang/Solarfun Poland and potential Client.

5.1 Company Responsibilities:

(a) Manufacture and supply the Products;

(b) Factory testing and quality assurance;

(c) Provide OEM technical documentation;

(d) OEM installation, commissioning, and supervision where included in project scope;

(e) Remote monitoring services where applicable.

5.2 Distributor Responsibilities:

(a) Client acquisition and project origination;

(b) Local EPC coordination and integration;

(c) Port-to-site transportation, customs clearance, import duties;

(d) Civil works, cabling, grounding, foundations;

(e) Compliance with local laws and grid authority requirements.

5.3 EMS Exclusion: Any Energy Management System is an external system unless expressly supplied by the Company under separate agreement. The Company has no responsibility for EMS performance beyond interface compatibility.

6. Year-1 Sales Targets

6.1 Year-1: No minimum sales target, no minimum stock, no minimum purchase obligations.

6.2 Company may not terminate or restrict Distributor's rights based on Year-1 performance.

6.3 Year-2 and Year-3 targets shall only be effective if mutually agreed in writing after Year-1 review.

7. Non-Competition

7.1 Distributor Rights and Obligations: Distributor may be entitled to distribute other BESS brands while offering Linyang products a fair opportunity to compete and maintaining separation of technical and pricing materials.

7.2 Company Exclusivity: Company shall not appoint any other distributor, agent, reseller or representative in Cyprus during the Term and for **twelve (12) months** following termination, except where termination is due to an uncured material breach by the Distributor. This limitation complies with EU Vertical Block Exemption Regulation (VBER) and Cyprus Competition Law (Cap. 149).

7.2A Dispute Buffer: Where the Distributor disputes the validity of termination:

- (a) the exclusivity tail continues pending final resolution of the dispute;
- (b) the 12-month period commences only upon final resolution confirming valid termination;
- (c) if resolved in the Distributor's favour, the Agreement is deemed to have continued uninterrupted;
- (d) any appointments made during a disputed termination are voidable at the Distributor's option.

7.3 Release from Non-Compete: If Company appoints another Cyprus distributor, Distributor is automatically released from all non-compete obligations.

8. Payment Terms

- 8.1 Distributor's payment obligations follow the end-client milestone schedule.
- 8.2 Any delay in end-client payments automatically extends Distributor's payment deadline.
- 8.3 No penalties, interest, shipment suspension or termination may arise due to end-client delay.
- 8.4 Distributor shall notify Company of expected delays and provide reasonable supporting details.
- 8.5 Unless otherwise stated in the applicable Quotation, payment for Products shall be:
- (a) 30% advance payment within 7 days of contract effectiveness;
 - (b) 60% pre-shipment prior to equipment dispatch;
 - (c) 10% commissioning upon successful PAC.

9. Pricing Structure

Base Price List for Cyprus to be provided within thirty (30) days.

Distributor discount: 20 percent off list price.

Volume discount: 2–5 percent for projects > €1M.

Price validity: 90 days.

Price adjustments only if:

- Raw material costs change by >10% (verified)
- EUR/CNY fluctuates by >8%
- 60 days advance notice
- Applies only to new orders

Prices quoted in EUR, payments in EUR or USD (ECB rate).

Distributor free to set resale prices.

9.1 Quotation Baseline Protection:

- (a) The first quotation for a project is the "Quotation Baseline".
- (b) subsequent quotes cannot exceed the Baseline by more than 5% unless scope has materially changed or the Distributor consents in writing.

10. Termination

10.1 Agreement term: three (3) years, renewable.

10.2 Years 1–2: Termination for Cause Only. Company may terminate only for material breach, subject to a 90-day cure period.

10.3 Year 3+: Termination on Notice. Either party may terminate with 180-day written notice.

10.4 Market performance or sales volume is not grounds for termination.

10.5 Early Termination Compensation. If Company terminates without reason provided in agreement before the end of Year-3:

- (a) €100,000
- (b) 25% of Distributor's average gross profit over the past 12 months
- (c) All outstanding revenues on ongoing projects
- (d) Any Contractual Liquidated Damages arising from Company contact with Introduced Clients within 24 months post-termination

11. Post-Termination Protections

The following survive termination until 31 December 2027:

- (a) Introduced Client & Protected Project rights
- (b) Anti-circumvention obligations
- (c) Contractual Liquidated Damages
- (d) Confidentiality of client/project information
- (e) No direct or indirect contracting with Protected Clients without Distributor consent

11.2 Auto-Extension with Cap: The survival period is extended by 12 months for each calendar year in which the Distributor introduces at least one new Protected Client. **Maximum total survival: 5 years from termination.**

This clause may be amended only by written agreement signed by all Parties.

12. Technical Support SLA

Appendix D – Technical Support SLA

- ~~Critical issues: Response within 4 hours~~
- ~~Major issues: 24 hours~~
- ~~Minor issues: 72 hours~~
- ~~On-site engineer in Cyprus within 5 business days for critical issues~~
- ~~Minimum 2 in-person visits per year~~
- ~~€500/day credit for missed SLA deadlines~~
- ~~24/7 remote diagnostics and hotline~~
- ~~All travel/accommodation for Linyang engineers covered by Company~~

13. Warranty

Appendix B – Warranty Terms (Cyprus Market)

- BESS: 10-year full replacement
- Performance: $\geq 80\%$ at year 10
- Cycle life: $\geq 6,000$ cycles at 80% DoD
- PCS/Inverters: 10-year warranty (extendable to 20 years)
- BMS: 10-year warranty + lifetime software updates
- Replacement parts delivered to Cyprus within 15 days
- On-site support within 10 business days
- Compliance with EAC grid codes, CE marking, documentation in English (and Greek if required)

13.1 Base Warranty: The standard base warranty from the Company is five (5) years for Product defects in materials and workmanship. Extended warranty coverage (Years 6-10) may be provided under a separate Long-Term Service Agreement (LTSA) between the Distributor and end customers.

13.2 LTSA Separation: Availability guarantees, SOH guarantees, and performance guarantees are governed exclusively by separate LTSAs with end customers. No such guarantees are implied under this Agreement.

13.3 Coastal Installation: For all installations in Cyprus, C5-rated corrosion-protected enclosures shall be specified as standard due to Cyprus's island geography and coastal climate.

14. Training

Appendix C – Mandatory Training Program

Initial Training (within 60 days):

- ~~5 business days~~
- ~~Up to 5 Distributor staff~~
- ~~Company covers trainers' travel/accommodation~~

Content:

- ~~BESS fundamentals, hybrid design, installation, EMS/BMS/PCS setup, safety, troubleshooting, sales tools~~

Ongoing:

- ~~Quarterly webinars~~

- Annual 2-day refresher
- New product training within 30 days
- Certification valid for 2 years (renewal free of charge)

15. Marketing Support

Appendix E – Marketing Support

- Free digital assets, brochures, case studies, technical sheets
- Demo BESS unit (≤ 100 kWh) on loan
- Marketing Development Fund (MDF): 3% of annual Distributor purchases (paid quarterly)
- MDF not required in Year-1

16. Lead Protection / Deal Registration

Appendix F – Deal Registration Protection

- Projects > €500k gain 180-day protection, renewable if active
- Linyang must forward direct inquiries within 24 hours
- Company may not quote directly to registered clients
- All RFPs and inquiries must be routed via Distributor
- Protection applies even if client contacts Linyang directly

17. Expanded Force Majeure

Section FM – Force Majeure (Revised)

Force Majeure includes:

- EAC grid connection delays
- Cyprus governmental/permit delays
- Environmental/archaeological work stoppages
- Changes to renewable energy regulations
- Pandemic restrictions
- Delays in financing outside parties' control

All deadlines extend automatically; no penalties apply. If FM persists >6 months, either party may pause obligations (not terminate). Anti-circumvention protections remain active during FM.

FM.2 No Abuse of Force Majeure: Force Majeure events shall not be invoked for normal commercial risks including factory scheduling, routine material procurement, or internal production delays not caused by external events.

18. Market Price Protection

Section MP – Market Price Protection

- Linyang shall maintain Cyprus pricing competitive with comparable EU distributors ($\pm 5\%$).
- If Distributor demonstrates Linyang pricing $>10\%$ above equivalent competitor products, Linyang shall:
 - (a) adjust the price, or
 - (b) release Distributor from non-compete obligations for the affected product category.

19. Insurance

Appendix G – Insurance & Indemnification

Company shall maintain:

- Product liability: €5,000,000 per occurrence
- Professional indemnity: €2,000,000
- Distributor named as additional insured

Distributor shall maintain:

- Commercial liability: €1,000,000
- Professional indemnity (if doing installation): €1,000,000

Company indemnifies Distributor for claims arising from manufacturing defects. Distributor not liable for product performance issues.

19.1 The Company indemnifies the Distributor against all claims arising from manufacturing defects. The Distributor is NOT liable for Product performance issues, liquidated damages, or losses attributable to manufacturing defects or software failures within the Company's Product stack.

20. Governing Law & Jurisdiction

20.1 Governing Law: This Agreement is governed by the laws of Singapore.

20.2 Dispute Resolution:

- (a) **General Disputes:** All general disputes shall be resolved by arbitration under the Singapore International Arbitration Centre (SIAC) rules. The tribunal shall consist of **three (3) arbitrators**. The seat is Singapore. The language is English.
- (b) **Cyprus Carve-Out:** Notwithstanding J.2(a), disputes relating exclusively to **Contractual Liquidated Damages** (Section Y), Client Protection (Section X), or Anti-Circumvention may, at the Distributor's sole discretion, be submitted exclusively to the competent courts of the Republic of Cyprus.

- (c) **Interim Relief:** Either Party may apply to Cyprus courts for interim injunctions, freezing orders, asset preservation, or enforcement of arbitral awards without waiving arbitration.

20.3 Official Language:

- (a) The official language is English;
- (b) Translations into Chinese, Polish, Greek, or other languages have no legal effect;
- (c) No Party may reference translations in any proceeding.

SECTION DP – DATA PROTECTION

DP.1 Compliance: Each Party shall comply with GDPR and Cyprus data protection laws.

DP.2 Cross-Border Transfers: Transfers outside EEA require appropriate safeguards (SCCs, adequacy decisions, or BCRs).

DP.3 Breach Notification: Personal data breaches affecting this Agreement must be notified within 72 hours.

SECTION AB – ANTI-BRIBERY AND COMPLIANCE

AB.1 Prohibited Conduct: Neither Party shall offer, give, or receive any bribe, kickback, facilitation payment, or improper benefit.

AB.2 Applicable Laws: Includes FCPA, UK Bribery Act, Cyprus Prevention of Corruption Laws, and PRC anti-corruption laws.

AB.3 Material Breach: Any breach of this Section is material and allows immediate termination.

AB.4 Audit Rights: Each Party may audit the other's compliance upon reasonable notice.

IN WITNESS WHEREOF, the Parties hereto have caused this Distribution Agreement to be executed by their duly authorized representatives as of the date written below.

For Solarfun Renewable Energy Poland sp. z o.o.

ul. Towarowa 7, 00-839 Warsaw, Poland

KRS 0001164462 | NIP: 5273158240 | REGON: 541290364

Name: _____

Title: _____

Signature: _____

Date: _____

For Jiangsu Linyang Energy Storage Technology Co., Ltd

**F17, Building D1, No.2 Mudanjiang Street
Jianye District, Nanjing, Jiangsu 210004, China**

Name: _____

Title: _____

Signature: _____

Date: _____

For Lighthief Cyprus Ltd

28 October Ave 249, Lophitis Business Center 1, Office 201, 3035 Limassol, Cyprus

Registered Office: Agiou Andreou 241, AG TRIAS COURT, Flat/Office 31, 3036

Limassol

Company No. HE 477423 | TIN: 60187188Q

Name: Alexander Papacosta

Title: Business Development Manager

Signature: _____

Date: _____